

Sir Syed University of Engineering & Technology
Department of Computer Science & Information Technology



HS-411 - Entrepreneurship
Lecture No. 2

Entrepreneurial Mindset

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List of Topic to be Discuss in this lecture

- Myths About Entrepreneurship
- Characteristics of Successful Entrepreneurs
- Types of Entrepreneurship
 - Small business entrepreneurship
 - Scalable startup entrepreneurship
 - Large company entrepreneurship
 - Social entrepreneurship
- Entrepreneurial Process
- Top Pakistani Startups

Myths About Entrepreneurship

Myth 1: Entrepreneurs are doers, not thinkers

- Reality: Although entrepreneurs are action oriented, but they are also a thinkers
- They make careful plan & strategy.
- Entrepreneur will try to come out with alternative action towards a solution.
- In the era of globalization & hyper-competition, entrepreneurs need to be good thinkers.

Myth 2: Entrepreneurs are born, not made

- The idea that the characteristics of entrepreneurs cannot be taught or learned. Entrepreneurs are born with special traits or characteristics.
- Traits such as include aggressiveness, initiative, drive, a willingness to take risks, analytical ability, and skill in human relations.
- Reality: Like all disciplines, entrepreneurship has models, processes, and case studies that allow the traits to be acquired through learning.
- Reality: Research has proven that entrepreneurs can be produced, and it is not limited to certain race, group or individuals.

Myths About Entrepreneurship

Myth 3: Entrepreneurs are always inventors

- Not all inventors are entrepreneurs.
- Reality: Many successful entrepreneurs are not inventors, but rather use creative ideas in doing something. They will modify & innovate to suit the market demand.

Myth 4: Entrepreneurs are academic and social misfits

- This myth results from people who have started successful enterprises after dropping out of school or quitting a job
- Long time ago, educational and social organisations did not recognise the entrepreneur
- Reality: The entrepreneur is now viewed as a highly educated professional, who is well versed and sociable with excellent communication skills, and strives in economic development of the community & the country.

Myths About Entrepreneurship

Myth 5: Entrepreneurs must fit the "profile"

- Many books & articles have presented checklists of characteristics of the successful entrepreneur
- Reality: It is not necessary for the individual to have ALL the characteristics, as described previously, to become a success (only some will do).

Myth 6: All Entrepreneurs Need Is Money

- Every biz. venture needs capital to survive
 - Large number of business failures occur because of lack of financing
 - Failure due to lack of financing indicates other problems
 - Managerial incompetence; Lack of financial understanding; Poor investments; poor planning;
- Reality: Money is a resource, not the ultimate objective.

Myths About Entrepreneurship

Myth 7: All Entrepreneurs Need Is Luck

- Being in the right place at the right time is always an advantage
- "Luck" happens when preparation meets opportunity
- What appears to be lucky could really be several other factors
 - a. Preparation & hard works
 - b. Determination
 - c. Desire
 - d. Knowledge
 - e. Innovativeness

Myths About Entrepreneurship

Myth 8: Ignorance is bliss for an entrepreneur

- The myth that too much planning and evaluating will give rise to problems. In the competitive world of business, which demanded detailed planning & preparation, entrepreneur should be equipped with solid knowledge and strategies, which would be keys to success.
- Reality: Careful planning- Not ignorance is regarded as beneficial, since Key success factors are;
 - a. ability to identify strengths and weaknesses of a venture
 - b. Setting up clear timetables with contingencies for handling problems
 - c. Minimizing problems through careful strategy formulation
 - Careful planning is the mark of an accomplished entrepreneur

Myths About Entrepreneurship

Myth 9: Entrepreneurs seek success but experience high failure rates.

- Many entrepreneurs suffer a number of failures before they are successful
- Failure can teach many lessons to those who are willing to learn and failure often leads to future success

Myth 10: Entrepreneurs are extreme risk takers (gamblers)

- The concept of risk is a major element in the entrepreneurship process
- While it may appear that an entrepreneur is "gambling" on a wild chance, the fact is that the entrepreneur is usually working on a moderate or "calculated" risk
- Reality: Most successful entrepreneurs work hard through planning & preparation to minimize the risk involved.

Characteristics of Successful Entrepreneurs

- ❑ **Curiosity:** Successful entrepreneurs are naturally curious individuals who are always seeking new opportunities and insights. They are constantly learning and seeking ways to improve their businesses.
- ❑ **Structured Experimentation:** Entrepreneurs are often faced with uncertainty and risk. Successful entrepreneurs are skilled at experimenting with new ideas and testing their assumptions in a structured and systematic way.
- ❑ **Adaptability:** Successful entrepreneurs are able to adapt to changing circumstances and market conditions. They are flexible and open-minded, willing to pivot their business strategies as needed.
- ❑ **Decisiveness:** Entrepreneurs must make many decisions on a daily basis, often with limited information. Successful entrepreneurs are decisive and able to make tough decisions quickly and confidently.
- ❑ **Team Building:** No entrepreneur can succeed alone. Successful entrepreneurs are able to build and manage effective teams, delegate tasks, and empower their employees to succeed.

Characteristics of Successful Entrepreneurs

- ❑ **Risk Tolerance:** Entrepreneurship involves taking calculated risks. Successful entrepreneurs are willing to take risks and embrace uncertainty in order to achieve their goals.
- ❑ **Comfortable with Failure:** Failure is an inevitable part of entrepreneurship. Successful entrepreneurs are comfortable with failure and view it as an opportunity to learn and grow.
- ❑ **Persistence:** Entrepreneurship requires persistence and a willingness to keep going in the face of obstacles and setbacks. Successful entrepreneurs are tenacious and resilient.
- ❑ **Innovation:** Successful entrepreneurs are able to identify new and innovative ways to solve problems and meet customer needs. They are creative and always looking for ways to improve their products or services.
- ❑ **Long-Term Focus:** Entrepreneurship is a long-term game. Successful entrepreneurs have a clear vision of where they want to go and are willing to invest the time and resources needed to achieve their goals.

Types of Entrepreneurship

Small Business Entrepreneurship

- Think about your local hardware store, coffee shop, garden center. These are all examples of small business entrepreneurship.
- This category doesn't mean that you don't have a large team and great revenue, but your path forward is likely different than the other categories below.
- Some small businesses do scale up – think of a chain of coffee shops, where they decide to adopt a franchise model (Tim Horton's for example), and this can mean that your business can move between categories, but the category you fall into is based on where your business is right now.

Types of Entrepreneurship

Scalable Start-up Entrepreneurship

- A scalable start-up is often a business that is using technology or creating technology in the business.
- Think of a SAAS (Software-as-a-Service) company that creates a Customer Relationship Management (CRM) software.
- Some of the largest examples of scalable startup entrepreneurship include tech companies like Meta and Uber that started small and grew into global companies.

Types of Entrepreneurship

Large Company Entrepreneurship

- Large company entrepreneurship is the process of established companies innovating new products, services, and ideas based on market considerations.
- Large company entrepreneurship aims to reinvent an existing brand to make it more valuable and relevant to the current marketplace.
- Companies like Disney and Samsung use large company entrepreneurship to stay competitive, rolling out new product lines to ensure that consumers stay loyal.

Types of Entrepreneurship

Social Entrepreneurship

- Social entrepreneurship involves a business model designed to address a particular social issue.
- Think of an entrepreneur who develops an assistive device, or someone who is working on making clean water more accessible to people living in rural, remote locations in poverty.
- These are social missions, sometimes based on the UN's Sustainable Development Goals. A social entrepreneurship entity can be any size.
- An example of social entrepreneurship is LSTN Sound Co., an audio company founded in 2012. Since then, LSTN Sound Co. has provided hearing aids to over 50,000 people worldwide by partnering with the nonprofit Starkey Hearing Foundation.

Entrepreneurial Process

The **entrepreneurial process** is a journey that starts with an idea and ends with a product or service that is sold to the public. It can be broken down into **four stages**: ideation, development, launch, and growth.

- In **ideation**, the entrepreneur comes up with an idea for a product or service. This could be anything from a new way to cook french fries to a new way to recycle plastic bottles.
- In **development**, the entrepreneur begins to develop the idea into a plan. This includes coming up with a business plan, researching the market, and coming up with a price point for the product or service.
- In **launch**, the entrepreneur puts together a team to build the product or service. This could include finding a manufacturer, creating marketing plans, and coming up with a launch date.
- In **growth**, the entrepreneur continues to work on the product or service and tries to grow their customer base. This could include working on new features for the product or service, increasing the price point, and expanding into new markets.

Top Pakistani Startups

Zameen.com is Pakistan-specific software that assists people in navigating the real estate market.

Details of the startup:

- State: Punjab
- City: Lahore
- Started in: 2006
- Founders: Imran Ali Khan, Zeeshan Ali Khan
- Industries: Online Portals, Property Management, Real Estate
- Number of employees: 1001-5000
- Funding: \$31,100,000
- Funding rounds: 5
- Number of investors: 4 (Frontier Digital Ventures, VNV Global, Catcha Group, Gilles Blanchard)

Top Pakistani Startups

CarFirst is a marketplace in Pakistan for selling secondhand vehicles quickly. WE BUY CARS AT CarFirst.com.

Details of the startup:

- State: Punjab
- City: Lahore
- Started in: 2016
- Founders: Raja Murad Khan
- Industries: Automotive, Classifieds
- Number of employees: 101-250
- Funding: \$89,000,000
- Funding rounds: 2
- Number of investors: 1 (Frontier Car Group)

Top Pakistani Startups

Daraz is an online retailer that sells branded clothing, footwear, apparel, jewelry, and accessories for men and women.

Details of the startup:

- State: Sindh
- City: Karachi
- Started in: 2012
- Founders: Ahmed Khan, Farees Shah, Muhammad Ahsan Raza, Muneeb Maayr
- Industries: E-Commerce, Fashion, Shopping
- Number of employees: 501-1000
- Funding: \$55,600,000
- Funding rounds: 2
- Number of investors: 3 (Alibaba Group, CDC Group, Asia Pacific Internet Group)

Top Pakistani Startups

Bykea is a social impact app that saves clients time and money by providing INSTANT transport and courier services.

Details of the startup:

- State: Sindh
- City: Karachi
- Started in: 2016
- Founders: Muneeb Maayr
- Industries: Classifieds, Courier Service, Local Shopping, Ride Sharing
- Number of employees: 101-250
- Funding: \$18,700,000
- Funding rounds: 2
- Number of investors: 3 (Prosus Ventures, Middle East Venture Partners (MEVP), Sarmayacar)

Top Pakistani Startups

Dawaai is a digital health platform that includes an online pharmacy network and generic pharmaceuticals.

Details of the startup:

- State: Sindh
- City: Karachi
- Started in: 2013
- Founders: Furquan Kidwai
- Industries: E-Commerce, Health Care, Internet, mHealth, Pharmaceutical
- Number of employees: 101-250
- Funding: \$9,500,000
- Funding rounds: 6
- Number of investors: 8 (500 Startups, Planet N Group of Companies, Kingsway Capital, Sarmayacar, Crimson Seed Capital)

Top Pakistani Startups

TAG is Pakistan's first digital bank.

Details of the startup:

- State: Islamabad
- City: Islamabad
- Started in: 2020
- Founders: Talal Ahmad Gondal
- Industries: Financial Services
- Number of employees: 1-10
- Funding: \$5,500,000
- Funding rounds: 1
- Number of investors: 7 (Visa, Y Combinator, Quiet Capital, Immad Akhund, Unpopular Ventures)